

CONTINGENT CONVERTIBLE DEBT, ON-LEDGER

Tokenized AT1 bonds

Built from two native primitives and a signer list.

What an AT1 actually is

TERM SHEET · REFERENCE BOND

Maturity	Perpetual
Rank	Subordinated
Coupon	9.25% · discretionary
First call	15 Mar 2027
Principal	Locked until the issuer calls
Loss event	Write-down, not repayment

WHY IT IS WORTH TOKENIZING

In March 2023, \$17bn of Credit Suisse AT1s were written to zero while shareholders were paid. The instrument is famous for one reason: nobody could see the terms until they were enforced.

Today the mcap of the AT1 market is \$300bn+

THE DESIGN PROBLEM

XLS-65 and XLS-66 give us everything except the one clause that defines the bond: nothing on the ledger stops principal from being repaid early.

One bond, one vault

OFF-CHAIN

Frontend

Bid / ask board. Indicative only
— no order ever hits the ledger.

OFF-CHAIN

Chain shim API

Builds, signs and submits
with xrpl.js. A matched
deposit is the trigger.

TRUSTED PARTY

Enforcer daemon

Holds the second key.
Refuses to co-sign
repayment before the
call date.

ON-CHAIN

XRPL devnet

Vault, Loan Broker,
Loan, MPT shares. The
only source of truth.

WHO SIGNS
WHAT

Lender

VaultDeposit ·
VaultWithdraw

Loan Broker

LoanBrokerSet · first-loss
5%

Borrower

LoanSet · LoanPay

Enforcer

Co-signer, weight 1 of 2

Bid to drawdown in four transactions

- 01 Borrower posts a bid**
250,000 RLUSD · 9.25% · call 15 Mar 2027
- 02 Vault and broker spawn**
VaultCreate → LoanBrokerSet, first-loss funded
- 03 Lender matched**
VaultDeposit → 250,000 MPT shares at PPS 1.000000
- 04 Principal disbursed**
LoanSet co-signed by broker + borrower — bond is live

Why did we choose the Open Ended Vault Model ?

The AT1 Bonds doesn't have fixed reimbursement date.

The yield isn't fixed.

Enforcing the call date and keeping the liquidity

PRINCIPAL · LOCKED

The borrower cannot repay early

Final LoanPay needs two signatures: the signature from the borrower as well as the signature of the enforcer. The borrower must pay the yield but cannot pay more than what he owes for a payment deadline.

Before 15 Mar 2027

Repayment refused

On or after

Co-signed, principal returns

COUPON · LIQUID

The holder can take yield any day

Each LoanPay coupon sits in the vault as free liquidity. A partial VaultWithdraw redeems shares up to that amount; anything beyond it fails, because the principal is out on loan.

Withdraw 5,781 (accrued coupon)

Settles

Withdraw 250,000 (principal)

Rejected

A withdrawal the ledger refuses

The lender asks for all 250,000 back while the principal is out on loan. The vault holds 5,781 in accrued coupon and nothing else, so the transaction fails before it touches the loan.

Requested	250,000 RLUSD
Available liquidity	5,781 RLUSD
Result	Rejected

The run sheet

8 / 8 verified on devnet

01 Bid posted	off-chain	05 Yield withdrawal	VaultWithdraw
02 Lender deposit	VaultDeposit	06 Early payoff blocked	enforcer refuses
03 Drawdown	LoanSet	07 Call-date repayment	LoanPay · 2-of-2
04 Coupon paid	LoanPay	08 Full withdrawal	VaultWithdraw

What we shipped, and what we didn't

IMPLEMENTED

AT1 bond emission

AT1 deposit for LPs

Redemption only after the call date

NOT IMPLEMENTED

Variable rate after the issue date

Morpho-Midnight-style off-chain order book

KYB to whitelist users

Feedback

01 Let the curator cap the withdraw

A simple attribute at vault creation: an optional **WithdrawalCap** on VaultCreate, set by the curator and enforced by the ledger on every VaultWithdraw.

02 Make vault ownership transferable

A Vault or LoanBroker is permanently bound to its creating account, with no ownership transfer path. That limits the broker's ability to delegate or hand over management of its vaults to a third party the only exit is to wind the vault down and re-issue.